

# The Home Depot

## Business Development Dossier

|                              |         |
|------------------------------|---------|
| Industry                     | Retail  |
| Revenue                      | \$159B  |
| Employees                    | 470,000 |
| Ideal Customer Profile Score | 87      |

### ICP SCORING MODEL



**ICP = Signals + Revenue + Employees + Fit (max 100)**

|                  |                                                                                                                             |
|------------------|-----------------------------------------------------------------------------------------------------------------------------|
| Signals (0-35)   | Top 4 signals scored; each = base(60%) + recency bonus<br><30d: 40%   <90d: 30%   <180d: 20%   older: 10%                   |
| Revenue (0-25)   | \$500M-\$10B sweet spot -> 70-100% of 25 pts<br>Below \$500M -> pro-rata x 0.5   Above \$10B -> 60%                         |
| Employees (0-20) | 2,000+ preferred (70-100%)   500-2K partial (50-70%)<br>Below 500 -> pro-rata x 0.3                                         |
| Fit (0-20)       | High-fit types: reorg, transformation, M&A, hiring,<br>funding, partnership -> 5 pts ea (max 12) + diversity 2/type (max 8) |

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### McChrystal Group

Leadership Advisory & Organizational Effectiveness

SECTION 1

Organization Snapshot

|              |                                                                                                                                                                                                  |
|--------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Legal Name   | The Home Depot, Inc.                                                                                                                                                                             |
| Headquarters | Atlanta, Georgia                                                                                                                                                                                 |
| Founded      | 1978                                                                                                                                                                                             |
| Ownership    | Publicly traded (NYSE: HD)                                                                                                                                                                       |
| Footprint    | 2,300+ stores across US, Canada, and Mexico. 160 market delivery operations, 20 direct fulfillment centers, 17 flatbed distribution centers. SRS Distribution subsidiary operates 760+ locations |

SECTION 1b

Company Overview

The Home Depot is the world's largest home improvement retailer with \$165 billion in annual revenue, 470,000 employees, and 2,300+ stores across North America. Under CEO Ted Decker, the company is executing its most ambitious transformation: the 'One Supply Chain' overhaul (200 new facilities), the 'Win the Pro' strategy anchored by \$18.25B SRS Distribution and \$5.5B GMS acquisitions, and enterprise technology modernization. Despite these investments, the company faces persistent headwinds from a frozen housing market and tariff uncertainty.

SECTION 2

Financial Health & Growth Stage

Understanding The Home Depot's financial position and trajectory is critical to framing any engagement conversation.

- Revenue: FY 2025 \$164.7B (+3.2% YoY). ~50% from professional customers
- EPS: Adjusted \$14.69 (down from \$15.24 in FY2024)
- FY2026 guidance: 2.5-4.5% total sales growth; flat to +4% EPS; flat to +2% comps
- Key acquisitions: SRS Distribution \$18.25B (closed Jun 2024) - specialty trade distribution; GMS \$5.5B (closed Sep 2025) - drywall, ceilings, steel; Mingleдорff's (HVAC, 2026 pending)
- Credit: Fitch A (affirmed despite GMS)
- E-commerce: \$25B business; 45% of online orders fulfilled through stores
- Pressures: Frozen housing market (3 consecutive years), consumer uncertainty, tariff exposure, integration complexity
- Tailwinds: Pro market TAM expansion, supply chain nearly complete (55% same/next-day delivery), aging

housing stock

### SECTION 3

## Leadership Team Profiles

*The following contacts are recommended as primary outreach targets - champion-level leaders who feel the organizational pain daily and can sponsor McChrystal internally.*

### **Stephanie Smith - EVP, Human Resources [PRIORITY TARGET]**

Previously SVP Supply Chain - led inventory management, transportation, delivery, analytics. Rare profile: supply chain to HR move

*Outreach rationale: Unique background: moved from running supply chain to running HR. Understands operational complexity AND people strategy. New to HR role, building agenda. Perfect McChrystal buyer - knows operational pain and now owns the people/culture lever*

### **Michael Rowe - EVP, Pro [PRIORITY TARGET]**

Previously President, Home Depot Canada. Leads strategic 'Win the Pro' initiative

*Outreach rationale: Leads most complex cross-functional initiative in company history - integrating SRS, GMS, salesforce, delivery, CRM across organizational boundaries. Needs Team of Teams coordination*

*Additional leadership team members relevant to the engagement:*

### **Ted Decker - Chair, President & CEO**

24+ years at Home Depot; prior Kimberly-Clark, Scott Paper, PNC Bank. William & Mary BA, Carnegie Mellon MBA. 2025 USO Patriot of the Year

### **Ann-Marie Campbell - Senior EVP, US Stores & Operations, Canada, Mexico**

40-year Home Depot career; leads 2,300+ stores and 400,000+ associates. Most tenured senior leader

### **Angie Brown - EVP & CIO**

Previously SVP of IT. Leading AI adoption and technology modernization. New to CIO role

### SECTION 4

## Organizational Culture & Structure

*Culture and structure are often where McChrystal Group finds the deepest leverage. The following signals indicate how The Home Depot operates today and where friction exists.*

### **Organizational Structure**

Store-centric decentralized culture - store managers historically had significant autonomy. 'One Home Depot' initiative centralizing supply chain and digital capabilities, creating tension with decentralized DNA. SRS operating independently with own CEO and leadership

### **Culture Signals**

Glassdoor: 3.8/5.0 (55,322 reviews); 70% recommend; 61% positive outlook. Culture 3.7/5.0

Positives: Strong moral compass, community involvement, diversity, promote-from-within (Campbell started as cashier 1985)

Concerns: Low store associate pay, management accountability issues, 'stretched thin due to lack of full staffing,' hours rearranged/cut

SRS operating independently: Deliberate 'preserve independence' model creates coordination challenges as Home Depot tries to capture synergies

HR transition: Tim Hourigan (EVP HR, 23 years) retiring June 2025; Stephanie Smith taking over - major institutional knowledge loss at critical moment

Veteran/military affinity: Home Depot Foundation invested \$500M+ in veteran causes, commits \$750M by 2030. Ted Decker 2025 USO Patriot of the Year. Strong cultural alignment with McChrystal

## SECTION 5

# Recent News & Trigger Events

*The following developments from the past 18 months create urgency and provide natural conversation entry points for engaging The Home Depot.*

### 1. 2025-09-01 - \$5.5B acquisition of GMS completed through SRS Distribution

Second major acquisition in 15 months. Integration complexity multiplies: SRS + GMS must coordinate with each other AND Home Depot stores

### 2. 2025-03-01 - Michael Rowe named EVP Pro; Stephanie Smith named EVP HR

New Pro leader must orchestrate most complex cross-functional initiative. New HR leader from supply chain building culture during integration

### 3. 2026-02-01 - Q4 FY2025: ~4% quarterly sales decline; cautious FY2026 guidance

Financial pressure creates urgency for Pro strategy to deliver growth - must execute efficiently

### 4. 2026-01-01 - Angie Brown elevated to CIO - leading AI adoption and tech modernization

Technology leadership transition during digital transformation

### 5. 2025-06-01 - Tim Hourigan retirement - 23-year EVP HR departing

Massive institutional knowledge loss at the moment company needs HR/culture leadership most

### 6. 2026-01-01 - 'Win the Pro' preferred pricing program launch

Not just pricing - requires coordinating pricing, delivery, CRM, sales force, SRS/GMS, stores into unified pro experience

## SECTION 6

## McChrystal Fit Assessment

*Multiple active triggers (GMS acquisition, leadership transitions, Pro launch), clear economic buyer (Stephanie Smith with operational background), massive budget (\$165B revenue), veteran/military cultural affinity (Patriot of the Year), specific problem (cross-entity coordination) maps precisely to McChrystal differentiation. Atlanta HQ proximity is bonus*

### Primary Problem

Transforming from a store-centric DIY retailer into an integrated omnichannel pro-serving platform - while absorbing \$24B+ in acquisitions operating independently, with three new EVPs in critical roles, a frozen housing market creating urgency, and a decentralized store culture that may resist the centralized capabilities the Pro strategy requires

### Best McChrystal Capability Fit

Cross-functional alignment for Pro strategy (6+ organizational units); Team of Teams for SRS/GMS/stores operating as independent but coordinated entities; leadership alignment for Rowe/Smith/Brown triad; culture evolution from decentralized DIY to coordinated omnichannel

### Likely Objections to Engagement

We're the world's largest home improvement retailer - we know how to run our business  
SRS is operating independently by design  
We already have management consulting relationships

### Competitive Advisory Landscape

McKinsey likely on Pro strategy design and acquisition strategy  
BCG possible on supply chain ('One Home Depot')  
Bain possible on customer analytics  
None address operating model layer for cross-entity coordination

## SECTION 7

## Conversation Entry Points

*These questions are designed for a Senior Partner's first conversation. Each opens a thread that naturally leads to McChrystal Group's capabilities without a direct pitch.*

**1. You've got SRS operating independently, GMS just acquired, a new preferred pricing program launching, and a sales force expansion - all under a new EVP Pro. How are you building coordination that lets these independent pieces deliver a unified pro customer experience?**

Pro strategy coordination as entry

**2. Stephanie, you moved from running supply chain to leading HR for 470,000 associates during the biggest**

**strategic pivot in Home Depot's history. How are you thinking about building a culture that can execute the Pro strategy while preserving the store-centric DNA?**

For EVP HR Smith - culture + operational background

**3. The military faces this constantly - independent units that must coordinate in theater without losing specialized capabilities. SRS and GMS are your independent units. How are you building shared consciousness without centralized control?**

Military analogy especially powerful given Home Depot's veteran affinity

### Recommended Meeting Framing

Position as 'operating model advisory for the Pro transformation' - how independent entities coordinate without centralized command. Military analogy (independent service branches in theater) is especially powerful given Home Depot's veteran affinity.

## SECTION 8

### Brand Insights & Market Positioning

*Brand strategy reveals organizational priorities and coordination challenges. The following analysis connects The Home Depot's market positioning to potential McChrystal engagement opportunities.*

Brand: World's 32nd most valuable. #1 home improvement globally.

Evolution: Expanding from 'DIY retail' to 'total home improvement for consumers AND professionals.' Most significant brand expansion in company history - must resonate with sophisticated professional contractors who view Home Depot as consumer store.

Threats: Pro credibility gap; Amazon Business digital competition; tariff-driven price volatility; SRS/GMS/Mingledorff's maintaining independent brands creating fragmented pro experience.

Major investments: \$500M+ Home Depot Foundation for veterans (\$750M by 2030); 200 supply chain facilities; \$24B+ SRS/GMS acquisitions.

McChrystal connection: Brand promises seamless pro service across stores, SRS, GMS, digital, delivery, credit. Gap between promise and organizational capability = McChrystal territory. Veteran affinity creates natural cultural bridge no other firm can replicate.

## SECTION 9

### Deep McChrystal Group Fit Analysis

*This is the strategic case for pursuing The Home Depot. It synthesizes findings from all previous sections into a comprehensive engagement thesis with specific fit dimensions, expected outcomes, stakeholder mapping, and a phased pursuit strategy.*

## 9a. Fit Dimensions

Dim 1: Cross-Entity Pro Coordination - Pro customer must get seamless experience across 2,300 stores, SRS (760+ locations), GMS (280+), sales force, digital/CRM, delivery, and trade credit - all different organizations. McChrystal's Team of Teams was designed for independent units coordinating without centralized command. McKinsey designed the strategy; McChrystal builds the coordination mechanisms.

Dim 2: Culture Transformation (DIY to Pro) - Store-centric, decentralized DNA may resist centralized capabilities needed for Pro. McChrystal builds cultural operating systems for decentralized autonomy + centralized coordination coexistence.

Dim 3: Multi-Acquisition Integration - SRS, GMS, Mingledorff's all kept independent. Independence without coordination = theoretical synergies. McChrystal builds shared consciousness that makes synergy capture organic.

Dim 4: Leadership Triad Synchronization - Rowe (Pro), Smith (HR), Brown (CIO) own three Pro transformation pillars. All started within 12 months. Without synchronization, agendas compete. McChrystal builds team operating systems.

## 9b. Cumulative Case

Pro strategy pivot -> \$24B+ acquisitions operating independently -> demands cross-entity coordination -> at moment 3 critical EVPs turned over -> housing market frozen -> Pro strategy must deliver growth NOW -> but organizational model isn't designed for this -> store-centric culture may resist -> tariff uncertainty adds complexity.

Revenue: Phase 1: \$750K-\$1M (Pro operating model + leadership triad) | Phase 2: \$2M-\$3M (enterprise-wide) | Phase 3: \$750K-\$1.5M/year | Total: \$3.5M-\$5.5M

## 9c. Enterprise Issues

1. Independent acquisition coordination paradox (synergies need coordination; model prevents it)
2. Store culture vs. centralized Pro capabilities tension
3. New EVP synchronization gap (Rowe/Smith/Brown)
4. Pro customer experience fragmentation (6+ entities, one relationship)
5. Supply chain transformation organizational absorption (200 facilities built, now coordinate)
6. Tariff response agility
7. E-commerce vs. store channel conflict (\$25B, 45% fulfilled through stores)
8. Frozen housing market creating strategic urgency without budget flexibility

## 9d. Expected Outcomes

1. Cross-entity Pro operating model - NPS +15 points; cross-sell up 20%
2. Leadership triad alignment - coordinated resource allocation within 90 days
3. Culture transformation roadmap - engagement in Pro roles up 10+ points
4. Synergy acceleration - \$200M+ activated within 18 months through coordination
5. Tariff response playbook - decision cycle from weeks to 72 hours
6. Regional Pro leadership development - 100+ leaders complete program in 12 months

7. Pro customer journey unification - 'inconsistent experience' complaints down 50%

## 9e. Key Stakeholders

### CEO Office

Leader: Ted Decker

Title: Chair/President/CEO

Relevance: Executive sponsor. Patriot of the Year - veteran affinity

### Human Resources

Leader: Stephanie Smith

Title: EVP HR

Relevance: PRIMARY TARGET - supply chain background + HR mandate

### Pro

Leader: Michael Rowe

Title: EVP Pro

Relevance: SECONDARY TARGET - owns Pro transformation

### US Stores

Leader: Ann-Marie Campbell

Title: SEVP

Relevance: Critical influencer - 40-year tenure

### Technology

Leader: Angie Brown

Title: EVP CIO

Relevance: Third leg of transformation triad

### Finance

Leader: Richard McPhail

Title: EVP CFO

Relevance: Budget authority

### SRS Distribution

Leader: Dan Tinker

Title: President & CEO

Relevance: Independent entity, key coordination partner

## 9f. Opportunity Thesis

Why Now: Preferred pricing program launching 2026. Three new EVPs building agendas. Housing market frozen - Pro must deliver growth. Window to shape operating model before habits calcify.

Why McChrystal: McKinsey designed Pro strategy. BCG did supply chain. Bain did customer analytics. None solve coordination across 6 independent entities without centralized control. Military analogy (service branches in theater) is especially powerful given Home Depot's \$500M+ veteran investment and CEO's Patriot of the Year.

Phased Engagement: Phase 1 (Q2-Q3 2026, \$750K-\$1M): Pro organization operating model + Rowe/Smith/Brown alignment | Phase 2 (Q4 2026-Q2 2027, \$2M-\$3M): Enterprise-wide coordination + SRS/GMS + culture | Phase 3 (\$750K-\$1.5M/year): Ongoing advisory



Pursuit Map: Thread 1: Stephanie Smith via supply-chain-to-HR career angle. Thread 2: Michael Rowe via Pro transformation coordination challenge. Thread 3: Ted Decker via veteran/military channels (USO, military board connections).